

ORIGINAL

FEDERAL MARITIME COMMISSION

HANGZHOU QIANWANG DRESS CO.
LTD.,

Complainant,

v.

RDD FREIGHT INTERNATIONAL, INC.,

Respondent.

Docket No. 17-02

FILED

OCT 11 2018

Federal Maritime Commission
Office of the Secretary

**COMPLAINANT's REPLY PURSUANT TO 46 CFR 502.227(2) RESPONDING
TO RDD'S EXCEPTIONS TO THE ALJ's INITIAL DECISION**

Pursuant to 46 CFR 502.227(2), Complainant hereby responds to the exception to the Administrative Law Judge's initial decision filed by RDD FREIGHT INTERNATIONAL, INC. ("RDD") (Docket No. 56).

RESPONSE TO RDD's STATEMENT OF FACTS

1. RDD's Statement of Facts contains various unsubstantiated assertions alleging fraud on the part of the Consignee, and conspiracy between Complainant and the Consignee. Complainant disputes these allegations. As the Administrative Judge found, they are without merit. *See* Initial Decision at 11-12 (Docket No. 54).

2. For an accurate summary of the facts, Complainant hereby incorporates by reference its previously submitted Proposed Findings of Fact, filed on June 29, 2018 (Docket No. 48), and the Findings of Fact contained in the Administrative Judge's Initial Decision, filed on August 29, 2018 (Docket No. 54).

3. As stated in Complainant's Proposed Findings of Fact, Complainant commenced and settled an action in China against nonparty ZHEJIANG HANDSOME INTERNATIONAL LOGISTICS CO., LTD. ("ZHI").

4. As reflected in Complainant's declaration describing the settlement, Complainant settled its action against ZHI for \$61,704 and agreed to dismiss the Chinese action for that amount. *See* Complainant's Appendix Ex. E, at 15-16 (Docket 48), which is also available at Docket 46. The settlement did not contain any release language. *See* RDD's Ex. 7 (Docket No. 49). Nor did the settlement reference the current action in any way.

5. While RDD was required by ZHI to pay the settlement funds on ZHI's behalf, Complainant did not offer to release RDD or dismiss the current case as part of the settlement. If that was the parties' intent, it would have been enshrined in the settlement agreement. But it was not. Complainant did not control the decision making process that lead to the side agreement between ZHI and RDD as to how ZHI's settlement payment would be made.

RESPONSE TO RDD's ARGUMENT

6. RDD's statement that "Complainant has settled its claims against RDD and Zhejian Handsome Int'l" is inaccurate. Complainant only settled with ZHI. In fact, the settlement did not even provide ZHI with a release. Therefore, it cannot possibly provide RDD with a release.

7. Rather, the settlement dismissed the Chinese case against ZHI, which bars Complainant from filing a new suit against ZHI for the same claims. But Complainant's claims against RDD are not barred. In fact, the settlement did not reference Complainant's action against RDD at all.

8. Complainant's declaration addressing the settlement states that "[Complainant] had started a lawsuit against Zhejiang Handsome International Logistics Co. Ltd. in Ningbo and then settled with them through the court on one condition, which is RDD gives us an one-time compensation of 50% of our loss, which means 61704 US dollars in total." *See* Complainant's Appendix Ex. E, at 16 (Docket 48), which is also available at Docket 46 (emphasis added). The "them" referred to is clearly ZHI. As such, the settling parties were plainly Complainant and ZHI.

9. By contrast, the declaration does not state that Complainant settled with RDD. Furthermore, the settlement agreement's statement that "there shall be no disputes among the three Parties" is merely a reference to the fact that there will be no remaining disputes between the parties pending before the Ningbo Maritime Court.

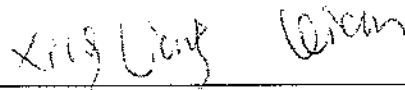
10. In sum, ZHI and Complainant's settlement agreement was effectuated by withdrawal of the claims filed in China. *See* Complainant's Appendix Ex. E, at 16 (Docket 48), which is also available at Docket 46. (stating that Complainant "will withdraw the aforementioned lawsuit against Zhejiang Handsome International Logistics Co. Ltd. in Ningbo Maritime Court..."); RDD Ex. 7 (Docket 49) (stating that Complainant "shall withdraw and dismiss its complaint in Ningbo Maritime Court" and that ZHI "shall withdraw and dismiss its complaint in Ningbo Maritime Court").

11. If the agreement had also contemplated withdrawal and/or dismissal of the claims in the current action between Complainant and RDD, it would have said so. But that was never a part of the agreement between ZHI and Complainant.

12. Accordingly, the Administrative Judge correctly relied upon the precedent in *Anchor Shipping Co. v. Alianca Navegacao E Logistica Ltd*, 30 S.R.R. 991, 997-98 (FMC 2006) to find that Complainant's recovery in this action was not barred.

13. The Initial Decision should therefore be upheld in its entirety.

Respectfully submitted,

A handwritten signature in black ink, appearing to read 'Xingliang Qian', is written above a horizontal line.

Xingliang Qian

HANGZHOU QIANWANG DRESS CO. LTD

CERTIFICATE OF SERVICE

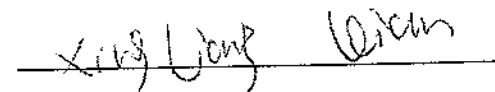
I hereby certify that on October 11, 2018, I served a true and correct copy of the following document: COMPLAINANT's REPLY PURSUANT TO RESPONDING TO RDD'S EXCEPTIONS TO THE ALJ's INITIAL DECISION by mailing it on October 11, 2018 in a sealed envelope, with postage prepaid thereon, in an official depository of the U.S. Postal Service within the State of New York, to be delivered by Certified Mail to:

1. Ren Rong Pan
11 East Broadway Suite 4B
New York, NY 10038
2. Federal Maritime Commission
Secretary
800 North Capital St, NW
Washington, DC 20573-0001
3. RDD Freight International Inc.
168-01 Rockaway Blvd
Jamaica, NY 11434

I declare under penalty of perjury that the foregoing is true and correct.

Dated: New York, New York

October 11, 2018


Xingliang Qian

HANGZHOU QIANWANG DRESS CO